What drives revenue and consumer satisfaction on a Brazilian online marketplace?

E-Commerce Dataset Case Study



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A shift toward lower-value orders pulls August revenue down

REVENUE AUGUST

R$ 854.7k

GOAL: R$ 895.6k (-4.6%)



REVENUE Q3

R$ 1.75m

GOAL: R$ 2.86m (-38.8%)

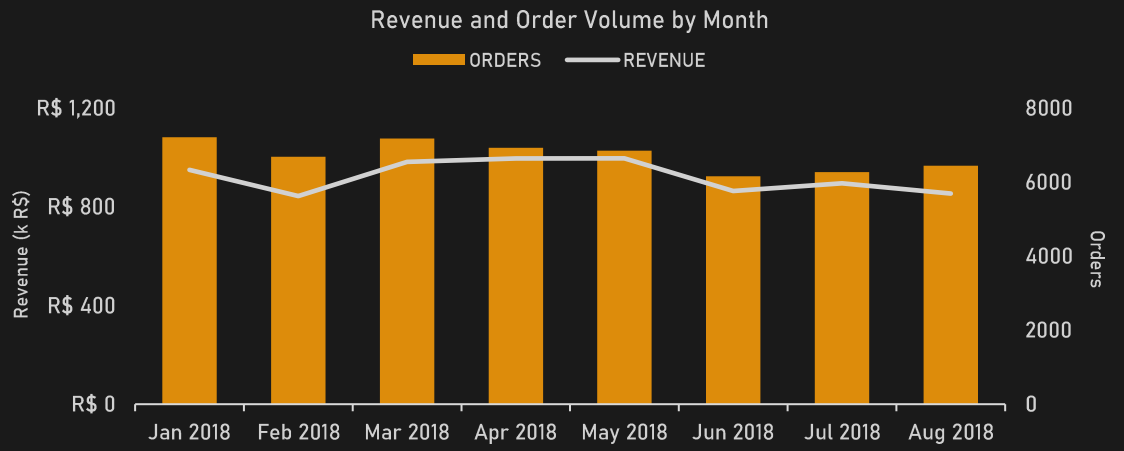


Q3 2018 VS. Q3 2017

+64%

As of August 2018, the company would need to generate R$ 1.1m to reach the previous quarter's goal. Q3 revenue is currently about 64% ahead of where it stood at the same point in last year's Q3. However, the trajectory differs, as last year's revenue grew steadily throughout Q3, whereas this year's August figures came in below July.

The decline may be linked to external pressures in Brazil, including political uncertainty ahead of the October 2018 elections, the depreciation of the Brazilian real, a drop in the consumer confidence index, and the aftermath of a truckers' strike [1][2][3].



ORDERS IN AUGUST

6.45k

AUGUST VS. JULY

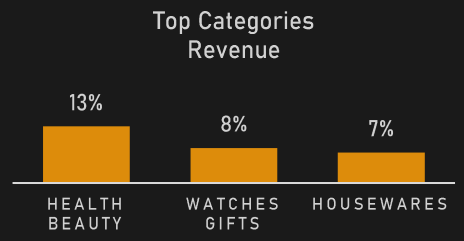
+3%

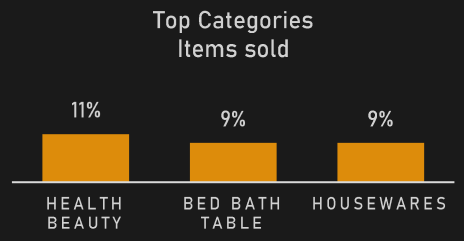
Q3 2018 VS. Q3 2017

+53%

Interestingly, unlike revenue, order volume has been on a continuous rise since the low point in June. The discrepancy between the two metrics can be explained by a surge in orders of <R$ 100 value, alongside a decline in purchases within the R$ 100-500 and >R$ 500 ranges. Order volume is up 53% compared with the same period in last year's Q3. However, reaching Q2 levels would require about 12% growth in September over August.

Health Beauty grows stronger, new category pairings emerge





Health Beauty leads Q3 revenue with a 13% share, followed by Watches Gifts (8%), and Housewares (7%). Categories rank similarly in terms of items sold, with Health Beauty and Housewares in the first and third positions (11% and 9% share, respectively), but Bed Bath Table holding the second place instead (9%).

CATEGORY TRENDS



Revenue and items sold trends indicate that Health Beauty, Housewares, Telephony, and Auto are gaining popularity, whereas Furniture Décor, Sport Leisure, Computer Accessories, Watches Gifts, Garden Tools, and Cool Stuff are on the decline. Bed Bath Table figures fluctuate from one month to the next.

In line with the historic pattern, the vast majority of orders (99%) contain a single category, with 91% of orders consisting of only one item. Overall, among those spanning several categories, the most frequent combinations are: Bed Bath Table and Furniture Décor/Home Comfort/Housewares; Furniture Décor and Housewares; Baby and Cool Stuff. Q3 has seen increased demand for new pairings, such as Furniture Décor and Construction Tools/Home Construction/Furniture Living Room; Sport Leisure and Housewares/Health Beauty; Health Beauty and Food Drink.





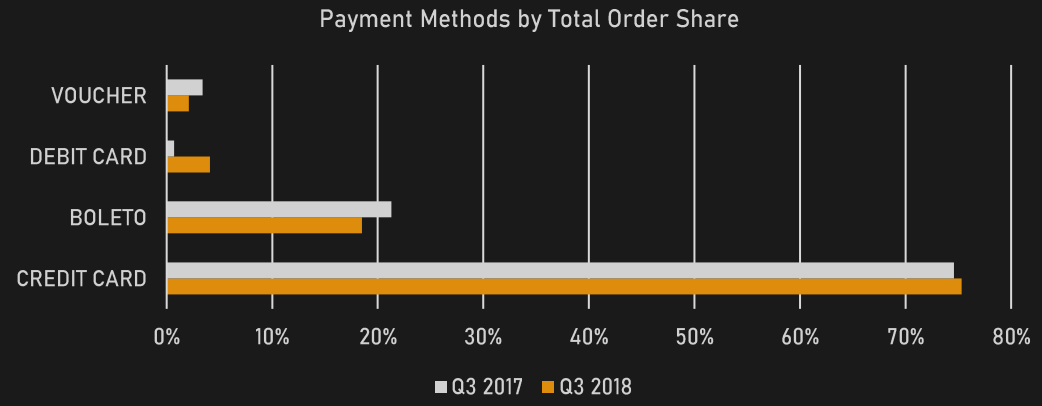
CATEGORY COMBINATIONS



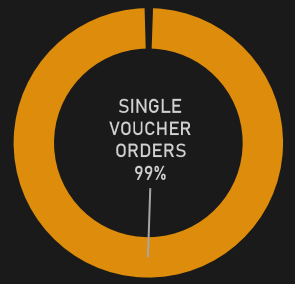
Debit cards gain ground while vouchers usage declines

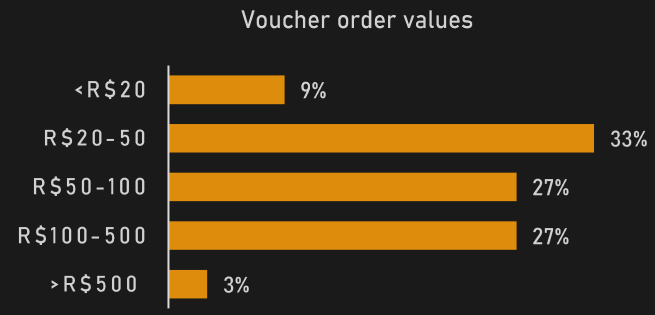


Mid-range baskets continue to dominate in Q3, with the most common order value in the R$ 100-500 (38% of orders) and R$ 50-100 (28%) brackets.



Credit card remains the leading payment method (75% of Q3 orders). Compared with last year's Q3, debit card purchases rose significantly (<1% → 4%), at the expense of Boleto (21% → 19%) and Voucher (3% → 2%) use.







Voucher popularity has been declining continuously since the peak in Q1 2018. Currently, over 99% of vouchers are used on a single order, with an even spread across the R$ 20-50 (29%), R$ 50-100 (29%), and R$ 100-500 (28%) value brackets. By items ordered, voucher holders most frequently purchase Furniture Décor, Housewares, and Health Beauty, whereas highest revenue share is generated by Housewares, Auto, and Watches Gifts. There is a possibility of a Christmas voucher boost in Q4 which, if last year's pattern repeats, could lift sales, especially in the Bed Bath Table, Furniture Décor, and Toys categories.

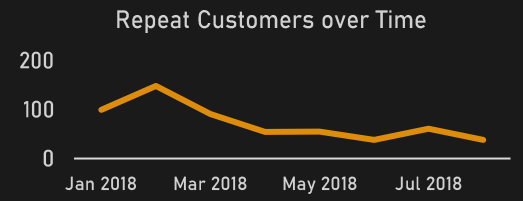
Despite expansion, local trends and retention raise concern

The number of monthly customers has been rising since the dip in June 2018. The count is currently about 60% ahead of the same point in last year's Q3, yet 10% growth in September over August would be needed to reach the Q2 levels.

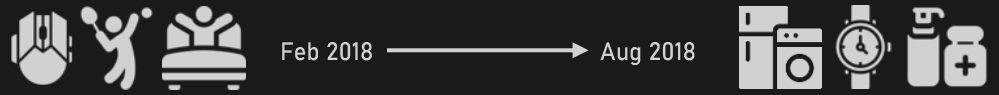
CUSTOMERS IN AUGUST	AUGUST VS. JULY	Q3 2018 VS. Q3 2017
6.19k	+4%	+60%

In Q3, repeat buyers make up only 1% of the customer base, and the count has been falling since the all-time high in February. Currently trending among repeat customers are Home Appliances (8% of orders), Watches Gifts (6%), and Health Beauty (5%), marking a shift from February, when most popular were Computer Accessories (18%), Sport Leisure (10%), and Bed Bath Table (9%).

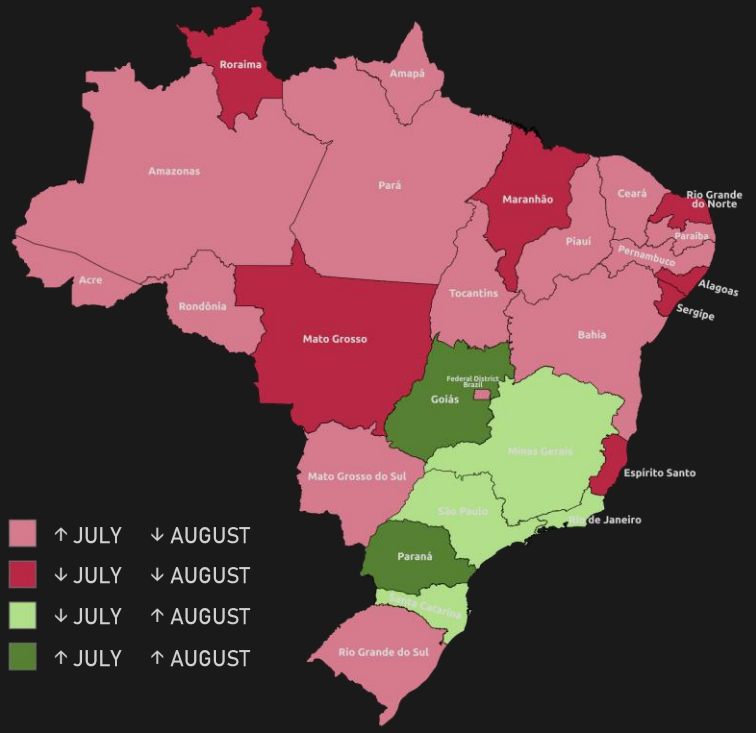




TOP CATEGORIES AMONG REPEAT CUSTOMERS



Geographically, São Paulo, Rio de Janeiro, and Minas Gerais continue to rank as the top buyer hubs. Customer counts have been fluctuating in most remaining states between June and August. In contrast, consistent growth has been noted in just 2 states, whereas 7 others have shown a continuous decrease.

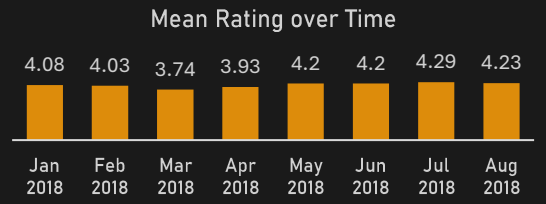


Satisfaction increases, with a few targets left for refinement

The overall mean review score stands at 4.1. Following the drop in March (3.74), it has been generally trending upward, reaching 4.23 in August.

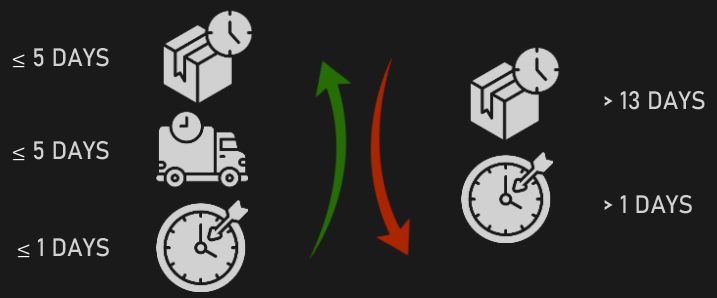
MEAN RATING

4.1



Review scores continue to be driven predominantly by logistics metrics. The strongest negative influencers are deliveries arriving >1 days after the estimate and preparation times of >13 days. Conversely, scores improve with deliveries ≤1 days past the estimate, delivery times of ≤ 5 days, and preparation times of ≤ 5 days.

FACTORS INFLUENCING RATINGS



Across written reviews, positive sentiment dominates, with "product delivered", "good product", and "fast delivery" being the most frequently appearing phrases. Less prevalent negative opinions include mainly expressions such as "delivered time" and "didn't receive". Analysis of concepts reveals that sentiments are mostly positive in expressions concerning Experience, Quality, Delivery, and Price, while reviews of Packaging, Service, and Size lean negative.

CONCEPT-SPECIFIC SENTIMENTS IN WRITTEN REVIEWS



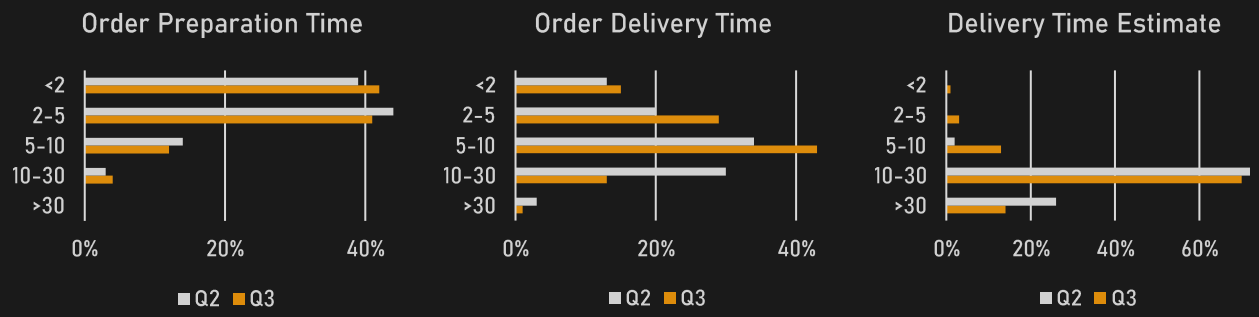
SEMANTIC WORD CLOUD OF WRITTEN REVIEWS



Deliveries quicken, but local interventions may be needed

Q3 has brought improvements in order preparation times compared to Q2, reflected in a rising share of orders shipped in under 2 days (39% → 42%), alongside a decrease in delivery times within the 10-30-day range (30% → 13%). Delivery time estimates presented to customers have also shortened, with a decline in >30-day projections (26% → 14%), paired with a rise in those of 2-5 days (0% → 3%) and 5-10 days (2% → 13%).

This quarter, 91% of orders have been delivered before the estimated date, which represents an increase from 89% in Q2. The current mean arrival time is 11 days ahead of the deadline, marking a change from Q2's mean of 13 days.





MEAN DELIVERY VS. ESTIMATE
Q3 (VS. Q2)

- 11 DAYS (+ 2 DAYS)

LONGEST DELIVERY TIMES AND RATING CHANGES



The longest mean delivery times are experienced by customers located in AP (21 days), AM (19 days), and RR (18 days). Review scores in AM appear sensitive to this factor, as the mean rating has shown a decrease from the Q2 level. The impact on AP customers has so far been ambiguous, as the mean score rose in July before falling in August. Customer satisfaction in RR appears unaffected by the current situation, showing an increase in Q3 compared to Q2.

Recommendations



Expansion

ENCOURAGE HIGHER-VALUE PURCHASES

Introducing discount or free delivery thresholds placed slightly above the typical small basket value could help win back the lost R$ 100-500 and R$ 50-100 order volume.

BUILD CROSS-CATEGORY BUNDLES

"Frequently bought together" recommendations featuring popular category pairings may reduce the dominance of single-item orders.

PREPARE A Q4 VOUCHER CAMPAIGN

Voucher promotions focused on last year's top sellers could assist in replicating the Christmas peak. This could be combined with offers on currently trending categories.



Satisfaction

SUPPORT LOGISTICS OPTIMISATION

Setting seller preparation time standards, with performance badges or visibility rewards for fast shippers and coaching for slow ones, may improve transport metrics. Reducing delivery estimates to more accurate values could prevent customer discouragement. Delivery issues in northern states should be resolved.

INVESTIGATE THE NEGATIVE OPINIONS

Complaints regarding Packaging, Service, and Size could be explored further through a customer survey. This would also create an opportunity to better understand the factors behind the positive parts of the experience in order to double down on what works well.



Retention

STRENGTHEN CUSTOMER SUPPORT

Low retention may indicate that complaints are not being properly addressed. Refining contact channels and rectification strategies could improve brand trust.

BRING IN A LOYALTY PROGRAMME

A point-based or subscription system, especially focused on categories popular among repeat buyers or on trending consumable categories, may increase recurring purchases.

UNCOVER THE REASONS FOR DROP-OFF

Interviewing lost repeat customers could generate insight into the causes behind churn. In addition, it would open the door to reactivating them.